

5-4b Single-Step Income Statement

An alternate form of income statement is the

single-step income statement (A form of income statement in which the total of all expenses is deducted from the total of all revenues.)

. As shown in **Exhibit 13**, the income statement for **NetSolutions** deducts the total of all expenses *in one step* from the total of all revenues.

The single-step form emphasizes total revenues and total expenses in determining net income. A criticism of the single-step form is that gross profit and operating income are not reported.